



2025

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**Merafe Resources Limited – Summarised consolidated financial
statements and cash dividend declaration**
for the year ended 31 December 2025

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IBC Administration

CEO commentary on results

Profits declined significantly to R143 million mainly due to lower ferrochrome sales and a stronger ZAR:USD exchange rate. Following the completion of the Business Review process in April 2025, production was suspended at all operating smelters of the Glencore-Merafe Chrome Venture's (Venture). The ferrochrome industry in South Africa continues to face significant structural challenges, including high energy costs and increased competition from Chinese producers.

Preparation of this report

This report was prepared under the supervision of Ditabe Chocho CA(SA) (Financial Director). These unaudited condensed consolidated financial statements of Merafe for the year ended 31 December 2025 have not been independently reviewed by the Company's independent auditor, Deloitte & Touche.

Merafe Resources Limited

(Incorporated in the Republic of South Africa)

(Registration number:

1987/003452/06)

JSE and A2X share code: MRF

ISIN: ZAE000060000

(Merafe or the Company or the Group)

Executive directors:

Z Matlala (Chief Executive Officer),

D Chocho (Financial Director)

Non-executive directors:

S Phiri* (Chairperson), M Vuso*,
K Tlale*, J McLaughlan*, D Green,
N Mabusela-Aikhuere*, D McGluwa

* Independent.

Company Secretary:

CorpStat Governance Services
Proprietary Limited

Registered office:

Building B, 2nd Floor, Ballyoaks
Office Park, 35 Ballyclare Drive,
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Transfer secretaries:

JSE Investor Services Proprietary
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Sponsor:

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Investor relations:

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2025 financial year in review

Financial

31% decrease in revenue to

R5 835 million

(2024: R8 443 million)

72% decrease in headline earnings per share to

12.2 cents

(2024: 42.9 cents)

79% decrease in basic earnings per share to

5.7 cents

(2024: 26.7 cents)

No change in the final cash dividend of

8 cents

(2024: 8 cents)

3% decrease in net asset value to

R4 719 million

(2024: R4 876 million)

69% decrease in EBITDA to

R533 million

(2024: R1 698 million)*

19% decrease in cash and balances held with Central Treasury to

R1 156 million

(2024: R1 434 million)*

65% decrease in net cash generated from operating activities to

R609 million

(2024: R1 744 million)*

Safety

23% improvement in TRIFR to

1.79

(2024: 2.31)

Fatality

None

(2024: 1)

Operational

63% decrease in ferrochrome production to

112kt

(2024: 301kt)

44% increase in chrome ore sales to

683kt

(2024: 475kt)

10% increase in Platinum Group Metals (PGMs) sales volumes to

14 948oz

(2024: 13 557oz)

14%

increase in ferrochrome production cost per tonne

(2024: 2%)

* Restated. Refer to note 13.

Commentary

Financial review

The summarised consolidated financial results for the year ended 31 December 2025 (current reporting period) are presented below.

Rounding of figures may result in minor computational discrepancies of the tabulations.

Merafe's revenue and operating income are primarily generated from the Venture, one of the global market leaders in ferrochrome production, with a total installed capacity of 2.3 million tonnes of ferrochrome per annum. Merafe shares 20.5% of EBITDA from the Venture. Merafe has one reportable segment, the mining and beneficiation of chrome ore into ferrochrome and associated minerals. As a result, no segment report has been presented.

Merafe's share of the revenue from the Venture, which includes a management fee, decreased by 31% from the prior year to R5 835 million (2024: R8 443 million).

Ferrochrome revenue decreased by 61% from the prior period to R2 296 million (2024: R5 909 million). Key contributors to the reduced revenue were a 6% decrease in the average net cost, insurance and freight (CIF) prices, a 58% decrease in ferrochrome sales volumes to 124kt (2024: 298kt) and the average ZAR:USD exchange which strengthened by 3% to R17.88 (2024: R18.34). Chrome ore revenue increased 37% year-on-year to R3 110 million (2024: R2 262 million). Average chrome ore CIF prices decreased by 4%, while sales volumes increased by 44% to 683kt (2024: 475kt). The stronger average ZAR:USD exchange rate negatively affected growth in chrome ore revenue. PGMs revenue increased to R390 million (2024: R267 million). The average basket price of PGMs which increased by 31% to 1 415 USD/oz (2024: 1 079 USD/oz) coupled with higher volumes sold of 14 948oz (2024: 13 557oz) supported growth in PGMs revenue.

Operating and other expenses decreased by 24% to R5 137 million (2024: R6 774 million). This decrease was mainly influenced by lower ferrochrome sales volumes. A 14% higher unit production cost per tonne year-on-year lowered the full impact of this decline. Operating and other expenses include higher of standing charges of R633 million (2024: R287 million) due to the suspension of all the smelting operations. Additionally, the figure includes inventory write down of R4 million (2024: R79 million) during the year arising mainly from a net realisable value (NRV) adjustment on ferrochrome stock. Expenses also include retrenchment costs of R198 million (2024: R67 million) and R136 million (2024: R14 million) of rehabilitation provisioning related to operations that have been fully impaired.

Operating and other expenses also include corporate costs of R69 million (2024: R84 million). Corporate costs include a cash-settled share-based payment credit of R1 million (2024: R15 million expense), Corporate Social Investment expenses of R4 million (2024: R3 million) and a bonus provision of R9 million (2024: R13 million).

Merafe achieved EBITDA of R533 million (2024: R1 698 million) and included in the EBITDA is a foreign exchange loss of R165 million (2024: R29 million gain).

Earnings for the year ended 31 December 2025 amounted to R143 million (2024: R667 million), after taking into account depreciation, amortisation and impairments of R424 million (2024: R930 million), net financing income of R67 million (2024: R98 million) and a taxation expense of R47 million (2024: R219 million). The decrease in interest rates and the lower cash balance resulted in the decrease in the net financing income. The decrease in depreciation is due to the full write-off of smelting plants (except the Lion smelter) in 2024 and 2025. Although there was no impairment adjustment processed against the cash-generating unit (CGU), specific asset adjustments were processed against the Bokamoso and the Tswelopele pelletising plants, as well as the Wonderkop smelter. The full carrying values of these plants were impaired, resulting in an impairment loss of R222 million (2024: R575 million) over the reporting period.

Sustaining capital expenditure decreased by 33% to R407 million (2024: R608 million) due to cash preservation initiatives in response to the adverse market conditions. Expansionary capital of R39 million (2024: R43 million) relates to amounts spent on mining operations, including PGMs.

The unsecured, credit facility of R300 million with ABSA remained unutilised at year end. This facility was successfully refinanced for an additional three years.

Merafe's share of the 120-day notice deposit that is managed by Glencore Holdings South Africa through a Treasury Service Agreement was R394 million (2024: R361 million). The Venture has ring-fenced this investment for future environmental rehabilitation obligations. These funds are unrestricted. Additionally, this investment is used to back Eskom's and the Department of Mineral Resources and Energy's bank guarantees. In prior periods, the deposit was erroneously classified as cash and cash equivalents. This was corrected in the current reporting period.

Merafe's year-end cash and cash equivalents balance was R458 million (2024: R603 million). Additionally, Merafe's share of other balances held with Central Treasury was R698 million (2024: R831 million). There was a reclassification of these balances out of cash and cash equivalents in the statement of cash flows in prior periods. This treatment was corrected in the current reporting period. The sum of these two balances make up the cash and cash equivalents and balances held with Central Treasury balance of R1 156 million (2024: R1 434 million). The restricted cash of R9 million (2024: R8 million) included in the above balance is not available for general use by the Group and is held in a trust bank account to rehabilitate the Kroondal mine.

Trade and other receivables increased by 3% compared to the previous year due, inter alia, to sales mix and timing during the last quarter of 2025.

At financial year end, the 71kt (2024: 83kt) of ferrochrome finished goods on hand represented six to seven months of sales. The closing inventory value increased to R1 899 million (2024: R1 794 million). This is after the NRV adjustment referred to earlier.

Commentary continued

The Board resolved to declare a final cash dividend of R200 million (2024: R200 million), equivalent to a cash dividend of 8 cents per share (2024: 8 cents per share) before dividend tax. This brings the total dividend for the year to R300 million (2024: R700 million).

Safety

The Venture was free of fatalities in 2025 and has remained fatality-free during the first month of the 2026 financial year. Our total recordable injury frequency rate is 1.79 compared to 2.31 in 2024.

The safety of our employees remains our top priority. We are committed to continuously improving our safety performance, focusing on the four key areas identified in our turnaround strategy: risk management, effective supervision, safety culture and contractor management.

Health

In 2025, two occupational diseases, Noise Induced Hearing Loss (NIHL), were recorded at Rustenburg and Helena mine, with the Helena case reported in the last six months of 2025. Employees are issued with customised Hearing Protection Devices (HPDs), and reducing exposure at the source remains our priority.

The Venture's commitment to creating a healthy work environment remains steadfast. We will continue promoting not only the health and safety of our workers but also the wellbeing of the communities in which we operate.

Our approach goes beyond the workplace, recognising that a healthy community supports a thriving workforce. Through proactive health initiatives, partnerships with local organisations and sustainable practices, we have and will continue to create lasting, positive impacts that extend far beyond our facilities.

We will review all health risk assessments on an annual basis as required by the Venture's Health Standard and applicable legislation, and maintain our pre-, annual and exit medical surveillance to monitor the occupational health of our workforce. Implementing our Health Standards and Glencore Exposure Limits is a core strategic focus, integrated with our baseline review to confirm exposures through quantitative data analysis.

Environmental, Social and Governance

Environmental, Social and Governance (ESG) compliance is a fundamental pillar of our business operations. We foster strong relationships with employees, suppliers, customers and communities by promoting fair labour practices, employee rights and a commitment to diversity, equity and inclusion.

Despite financial challenges, we remained unwavering in our commitment to invest in our communities. As a result, our social impact has deepened, reflecting our dedication to both people and the places we serve.

Our efforts spanned infrastructure development, raising awareness of social issues, creating procurement opportunities, and supporting small businesses within our host communities. By insourcing our local business hubs, we continue to strengthen and empower local small, medium and micro enterprises (SMMEs).

Collaborations with local mines, government, and the South African Police Service (SAPS) proved successful in driving awareness of Gender-Based Violence. On World AIDS Day, the Company partnered once again to host a sports day, using the platform to highlight the ongoing fight against the pandemic. We also advanced education through our learner incubation programme, with a strong focus on science, technology, engineering and mathematics (STEM) subjects.

Women in Mining, in partnership with corporate social responsibility (CSR), mobilized employees to donate cash or sanitary towels, resulting in over 20 000 sanitary towels distributed to host communities, addressing a critical need and supporting community wellbeing.

Notably, despite financial constraints, we successfully completed and officially handed over 11 Corporate Social Investment (CSI) *ad hoc* capital projects, an achievement that underscores our resilience and commitment to meaningful community development.

As a member of the International Council on Mining and Metals, the Venture adheres to the mining principles, which include ten sustainable development principles and eight position statements covering issues from biodiversity to water management. We recorded no major or catastrophic environmental incidents in the reporting period. We have completed the assessment of material water-stress risks and set local water targets, implementing actions to reduce impacts and improve performance against these targets. Additionally, we have embarked on a project to visualise our knowledge base using geographic information system solutions to support decision-making processes.

We are committed to delivering our Scope 1, 2 and 3 industrial emissions targets, a 15% reduction by the end of 2026, a 25% reduction by the end of 2030 and a 50% reduction by the end of 2035 against a 2019 baseline, with a longer-term ambition of achieving net zero industrial emissions by the end of 2050.

Operational review

Merafe's attributable ferrochrome production decreased to 112kt for the year ended 31 December 2025 (2024: 301kt).

The total unit cost of ferrochrome production increased 14% year-on-year. The increase was driven by significantly higher standing charges which were offset by lower reductant, power and chrome ore costs.

Saleable chrome ore produced at the mines in 2025 was 4% higher than in 2024 mainly due higher yields.

Lower tonnages (16%) at the UG2 operations were mainly due to less feed and dispatches.

Production costs for mines were 6% more than the prior year mainly due to less volumes produced, lower yields above inflationary increases.

Production costs from the UG2 platinum tailings were 2% higher than the prior year mainly due to lower volumes which were offset by lower prices paid for raw material from PGMs producers (linked to chrome ore market prices).

Saleable PGM production increased from 13 557oz to 14 948oz as a result of the inclusion of the PGMX plant for full year and improved yields.

Consultation process in terms of Section 189 of the Labour Relations Act, No. 66 of 1995 (s189)

The Venture commenced the consultation process in terms of s189 and 189A of the Labour Relations Act on 1 September 2025.

The consultation process was commenced after engagements with the government did not identify viable options to address challenges impacting the Venture's ferrochrome operations, with the most pressing being the provision of competitive electricity tariff.

In December 2025, the Venture signed a Memorandum of Understanding (MOU) with Eskom to extend collaboration and engagement to finding a workable energy solution by 28 February 2026. This MOU meant the agreed termination date would be extended from 31 December 2025 to 28 February 2026 and the Venture would continue paying salaries until 28 February 2026.

Post year end, after Eskom announced its in-principle support for the proposed 62c/kWh electricity tariff (refer to note 14), the Venture has extended the termination date from 28 February 2026 to 31 March 2026.

Project Phoenix, the business restructuring, streamlining and right-sizing project was unaffected and continued as planned.

Market review

Global stainless-steel output increased by 2.2%¹ in 2025, reaching 65.4 Mt¹. Growth was primarily driven by China, where production rose by 2.6%¹ year-on-year.

Global ferrochrome output outside China declined by approximately 21%¹ year-on-year, with production contracting across most regions. The most pronounced reduction occurred in South Africa, where output decreased by approximately 50%¹ year-on-year.

By contrast, ferrochrome output in China increased by more than 6%¹ to approximately 9.5Mt¹ in 2025, representing around 60%¹ of global supply. The commissioning and higher utilisation of lower-cost smelting capacity, particularly in the second half of the year, supported this increase and displaced higher-cost producers.

South African global chrome ore exports increased by 16%² year-on-year to 23.8 Mt². Prices remained at elevated levels throughout the year, supported by strong demand growth from China.

¹ CRU Data.

² SARS Data.

Outlook

Our smelting operations took strains in 2025. Overall and in the medium to long-term, the viability of these operations depends on decisive and deliberate action to materially lower energy costs for smelters as well as sustained improvement in global ferrochrome/steel demand and prices.

While the future of the smelting operations remains uncertain, the chrome ore business has done well in 2025 and the Venture will continue to invest in this part of our business. As in 2025, we expect both the chrome ore and the PGMs businesses to contribute positively towards our financial performance in 2026.

We remain cautious in our approach to 2026 and will continue to focus on efficient operations, cash preservation, cost control and efficient capital allocation.

We are dedicated to creating shared value for our stakeholders.

Steve Phiri

Independent Non-executive Chairperson

Sandton

6 March 2026

Zanele Matlala

Chief Executive Officer

Summarised consolidated statement of financial position

as at

This summarised report is extracted from audited information but is not itself audited or independently reviewed. The full set of audited consolidated financial statements from which these summarised consolidated financial statements have been derived were prepared under the supervision of Ditabe Chocho CA(SA), Financial Director, as set out more fully in note 1 on page 8 of these financial results.

	Notes	31 December 2025 R'000	Restated 31 December 2024 R'000
Assets			
Non-current assets			
Property, plant and equipment		1 147 920	1 124 913
Intangible assets		16 972	21 188
Investment in associate		38 181	32 676
Long-term receivable	2	96 112	64 260
Other long-term receivable		17 133	17 730
		1 316 318	1 260 767
Current assets			
Inventories		1 898 609	1 794 492
Trade and other receivable		1 208 700	1 175 161
Current tax receivable		82 005	116 966
Other short-term financial asset	13	393 966	360 756
Cash and cash equivalents and balances held with Central Treasury	13	1 156 408	1 434 155
		4 739 688	4 881 530
Total assets		6 056 006	6 142 297
Equity and liabilities			
Equity			
Share capital		1 288 876	1 288 876
Retained income		3 429 932	3 587 239
		4 718 808	4 876 115
Liabilities			
Non-current liabilities			
Lease obligation		3 370	4 723
Deferred tax		84 856	186 146
Provisions		278 360	142 356
Share-based payment liability		3 685	7 254
		370 271	340 479
Current liabilities			
Trade and other payables		720 957	893 686
Lease obligation		1 353	1 150
Current tax payable		–	106
Provisions		240 083	17 376
Share-based payment liability		4 534	13 385
		966 927	925 703
Total liabilities		1 337 198	1 266 182
Total equity and liabilities		6 056 006	6 142 297

Summarised consolidated statement of profit or loss and other comprehensive income

for the year ended

	Notes	31 December 2025 R'000	Restated 31 December 2024 R'000
Revenue	5	5 834 877	8 443 462
Foreign exchange (loss)/gain		(165 170)	29 321
Operating and other expenses	13	(5 136 662)	(6 774 473)
Earnings before interest, taxation, depreciation and amortisation	13	533 045	1 698 310
Depreciation and amortisation		(201 348)	(354 410)
Impairments	9	(222 285)	(575 429)
Income from equity accounted investment		13 168	20 122
Results from operating activities		122 580	788 592
Finance income	13	68 794	99 118
Finance expense		(1 553)	(1 358)
Profit before taxation		189 821	886 353
Taxation		(47 233)	(219 146)
Total comprehensive income for the year		142 588	667 207
Earnings per share			
Basic earnings per share (cents)		5.7	26.7
Diluted earnings per share (cents)		5.7	26.7

Summarised consolidated statement of changes in equity

for the year ended

	31 December 2025 R'000	31 December 2024 R'000
Issued share capital – ordinary shares	24 991	24 991
Balance at the end of year (issued share capital)	24 991	24 991
Share premium – ordinary shares	1 263 885	1 263 885
Balance at the end of the year (share premium)	1 263 885	1 263 885
Balance at the beginning of the year	3 587 239	3 969 665
Total comprehensive income for the year	142 588	667 207
Dividends	(299 895)	(1 049 633)
Balance at the end of the year (retained income)	3 429 932	3 587 239
Total equity for the end of the year	4 718 808	4 876 115

Summarised consolidated statement of cash flows

for the year ended

	Notes	31 December 2025 R'000	Restated 31 December 2024 R'000
Cash flows from operating activities			
Cash generated from operations*	6	679 466	2 034 712
Dividends received from associate		7 663	1 596
Finance income received		38 308	66 359
Finance expense paid		(1 970)	(2 164)
Taxation paid		(113 667)	(356 374)
Net cash from operating activities*		609 800	1 744 129
Cash flows from investing activities			
Acquisition of property, plant and equipment – sustaining		(407 237)	(608 373)
Acquisition of property, plant and equipment – expansionary		(39 280)	(53 819)
Proceeds from sale of property, plant and equipment		1 100	644
Proceeds from sale of land and mineral rights		–	7 894
Other long-term receivable advanced/(paid)		597	(3 501)
Movement in balances with Central Treasury*		(8 719)	(128 335)
Net cash from investing activities*		(453 539)	(785 490)
Cash flows from financing activities			
Repayment of capital portion on lease liabilities		(1 150)	(3 186)
Dividends		(300 035)	(1 049 633)
Net cash from financing activities		(301 185)	(1 052 819)
Total cash movement for the year*		(144 924)	(94 180)
Cash at the beginning of the year*		602 730	696 910
Total cash at the end of the year*		457 806	602 730

* Restated. Refer to note 13.

Notes to the summarised consolidated financial statements

1. Basis of preparation

On 6 March 2026, the Board approved the audited consolidated annual financial statements of the Group and the Company for the year ended 31 December 2025.

These summarised consolidated financial statements have been prepared under the supervision of Ditabe Chocho CA(SA) (Financial Director), in accordance with the framework concepts and the measurement and recognition requirements of the IFRS® Accounting Standards and the Financial Pronouncements as issued by the Financial Reporting Standards Council and SAICA Financial Reporting Guides as issued by the Accounting Practices Committee and containing the information required by IAS 34: Interim Financial Reporting, the JSE Limited Listings Requirements and the Companies Act of South Africa, No. 71 of 2008.

The summarised consolidated financial statements are presented in South African Rand, which is the functional currency of the Group.

The summarised consolidated financial statements are extracted from audited information but is not itself audited and the Board is responsible for the accuracy of the extraction.

The audited consolidated annual financial statements from which the summarised consolidated financial statements were derived have been audited by the Group's auditors, Deloitte & Touche. Their unmodified audit report along with the audited consolidated annual financial statements can be obtained from the Company on written request from Merafe's Company Secretary, CorpStat Governance Services Proprietary Limited (w.somerville@mweb.co.za) and are available on the Company's website at <https://www.meraferesources.co.za/results/annuals-2025/pdf/afs.pdf>.

Any reference to future financial performance included in these summarised consolidated financial statements has not been audited or reported on by the Company's auditors.

1.1 Accounting policies

The accounting policies applied in the preparation of these summarised consolidated financial statements are in terms of IFRS® Accounting Standards and the Financial Pronouncements as issued by the Financial Reporting Standards Council and SAICA Financial Reporting Guides as issued by the Accounting Practices Committee and are consistent with those applied in the previous audited consolidated annual financial statements, except for the adoption of various revised and/or new standards. The adoption of new standards did not have a material impact on the Group. The Group did not early adopt any new, revised or amended accounting standards or interpretations.

1.2 Significant accounting judgements and key sources of estimation uncertainty

The preparation of the summarised consolidated financial statements requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgements about carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

The estimates are reviewed on an ongoing basis. Underlying assumptions are also reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised.

Information about significant areas of estimation, uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amount recognised in the summarised consolidated financial statements are as follows:

- Measurement of depreciation and impairment, useful lives and residual values of property, plant and equipment and intangible assets.
- Inputs used in the determination of the fair value of the share-based payment transactions, lease classification and depreciation of right-of-use assets.
- Assumptions used in the calculation of the life-of-mine/smelter, estimation of the closure and restoration costs and inputs used in the calculation of the present value of the provision for closure, restoration costs and discount rate applied.
- Recognition of deferred tax assets on assessable losses.
- Fair value measurement of trade receivable subject to provisional pricing.
- Assumptions around joint control of the Venture.
- Impairment of non-financial assets – the Group determines whether any cash-generating units are impaired at each reporting date. This requires consideration of the current and future economic and trading environment and available valuation information to ascertain if there are indications of impairment to those owned by the Group.

Notes to the summarised consolidated financial statements continued

- Inventories – the Group determines whether there is obsolete inventory on an annual basis and adjustments to the net realisable value of inventory as required.
- Financial risk management – the Group assesses credit risk and the impact of liquidity risk, cash and cash equivalents and trade and other receivables. There has been no material increase in either liquidity risk or own credit risk based on this assessment.
- Contingent liabilities – the Group exercises judgment in measuring and recognising the provisions and the exposure to contingent liabilities related to unresolved tax matters. Judgements, including those involving estimations, are necessary in assessing the likelihood that a pending tax dispute will be resolved or a liability will arise and to quantify the possible range of the tax exposure.

The global environment, the risk of adverse impacts on our revenue, costs and the Group's capital expenditures were all considered in determining the accounting estimates and judgements for the year.

These disclosures are included in the audited consolidated annual financial statements.

2. Determination of fair values

Several of the accounting policies and disclosures require the determination of fair value for both financial and non-financial assets and liabilities.

Fair values are determined for measurement and disclosure purposes based on the below methods.

2.1 Trade receivables subject to provisional pricing terms

Trade receivables of R110 million (2024: R73 million) are subject to provisional pricing terms, accordingly, accounted for at fair value through profit and loss. Level 2 hierarchy per IFRS 13.

The fair value at the reporting date is based on the latest available ferrochrome prices and closing ZAR:USD exchange rate of R16.56.

2.2 Long-term receivable

In 2017, the Venture entered into an asset swap arrangement with Rustenburg Chrome Mine Proprietary Limited (RCM) through which the Venture's mineral rights were swapped for RCM's mineral rights. A receivable of R96 million (2024: R64 million) arises through ore recovery and the sale from mining in the rights area. No ECLs were recognised for this receivable as the debtor is revalued at each reporting period based on the latest mining plans and probabilities and measured at its fair value based on these inputs and forward-looking commodity prices. Level 3 hierarchy per IFRS 13.

The discounted cash flow valuation technique was used, with the key inputs being the discount rate, ZAR:USD exchange rate and a forward-looking chrome price. The cash flows are based on the life-of-mine plan of 10 years. The fair value at the reporting date is based on chrome ore prices of USD262.55 per metric ton, an average ZAR:USD exchange rate of R18.00 and a discount rate of 9.65%. There were no transfers between fair value hierarchy levels during the period. There was also no change in the valuation technique compared to the prior corresponding period.

Reconciliation of Level 3 fair value measurements

	For the year ended	
	31 December 2025 Audited R'000	31 December 2024 Audited R'000
Opening balance	64 260	37 287
Total gains in profit or loss	37 392	26 973
Settlements	(5 540)	–
Closing balance	96 112	64 260

Notes to the summarised consolidated financial statements continued

3. Headline earnings

The calculation of headline and diluted HEPS is based on the earnings attributable to ordinary shareholders – as used in the calculation for basic earnings, adjusted in terms of Circular 1/2023.

	For the year ended	
	31 December 2025 Audited R'000	31 December 2024 Audited R'000
Headline earnings reconciliation:	Gross Net of taxation	Net of taxation
Basic earnings	142 588	667 207
<i>Adjustments:</i>	161 972	405 678
IAS 16 gains on the disposal of land and mineral rights	–	(13 914)
IAS 16 gains on the disposal of plant and equipment	(403)	(470)
IAS 16 impairment of property, plant and equipment	222 285	420 063
Headline earnings	304 560	1 072 885
Headline earnings per share (cents)	12.2	42.9
Diluted headline earnings per share (cents)	12.2	42.9
Ordinary shares in issue	2 499 126 870	2 499 126 870
Weighted average number of shares for the period	2 499 126 870	2 499 126 870
Diluted weighted average number of shares for the period	2 499 126 870	2 499 126 870

4. Capital commitments

Contracted but not provided for	111 363	218 246
Authorised but not contracted for	474 726	552 179
	586 089	770 425

5. Revenue

Ferrochrome sales*	2 295 611	5 908 878
Chrome ore sales	3 109 500	2 262 221
PGMs concentrate sales**	389 525	267 055
Revenue from contracts with customers	5 794 636	8 438 154
Management fees	1 200	1 200
Other income***	39 041	4 108
Revenue other than from contracts with customers	40 241	5 308
Total revenue	5 834 877	8 443 462

* Ferrochrome sales include provisional pricing adjustments of R40 million (2024: R15 million).

** All PGMs concentrate sales are to a customers in South Africa.

*** Other income includes revenue from sale of scraps and silica as well as the fair value adjustment on the Lanxess mining right swap.

Geographical areas of ferrochrome sales to customers

The majority of customers are stainless steel mills located at the following revenue destinations:

	2025		Restated 2024	
	Revenue R'000	% of revenue in relation to total ferrochrome revenue	Revenue R'000	% of revenue in relation to total ferrochrome revenue
Revenue destination				
Africa*	119 182	5	212 617	4
Americas**	341 360	15	561 354	9
Asia	1 163 969	51	4 011 749	68
China	791 547	34	2 521 372	43
Indonesia	140 055	6	956 702	16
Other Asia***	232 368	10	533 675	9
Europe****	671 099	29	1 123 158	19
	2 295 611	100	5 908 878	100

* Includes South Africa and Turkey.

** Includes Argentina, Brazil, Canada, Mexico and USA.

*** Includes India, Japan, South Korea, Taiwan and Australia.

**** Includes Belgium, England, Italy, Netherlands, Slovenia and Spain.

Notes to the summarised consolidated financial statements continued

Geographical areas of chrome ore sales from customers

	2025		Restated 2024	
	Revenue R'000	% of revenue in relation to total chrome ore revenue	Revenue R'000	% of revenue in relation to total chrome ore revenue
Revenue destination				
Africa*	200 877	6	507 967	22
Americas**	31 626	1	19 689	1
Asia	2 822 609	91	1 633 558	72
China	2 728 957	88	1 612 771	71
Other Asia***	93 652	3	20 787	1
Europe****	54 388	2	101 007	5
	3 109 500	100	2 262 221	100

* Includes South Africa and Egypt.

** Includes Argentina, Brazil, Canada, Mexico and USA.

*** Includes India, Japan and Australia.

**** Includes France, Italy, Netherlands and Spain.

Sales to the following customers individually comprise more than 10% of total sales:

	2025		2024	
	Revenue R'000	% of revenue in relation to total ferrochrome revenue	Revenue R'000	% of revenue in relation to total ferrochrome revenue
Key customers				
Customer A	279 797	12	1 324 230	22
Customer B	243 683	11	955 912	16
	523 480	23	2 280 142	38

	2025		2024	
	Revenue R'000	% of revenue in relation to total chrome ore revenue	Revenue R'000	% of revenue in relation to total chrome ore revenue
Key customers				
Customer C	356 372	11	351 919	16

6. Cash generated from operations

		For the year ended	
	Notes	2025 R'000	Restated 2024 R'000
Profit before taxation		189 822	886 353
Adjustments for non-cash items:			
Depreciation and amortisation		201 348	354 410
Impairments		222 285	575 429
Effect of exchange rate fluctuations		141 542	(71 842)
Movement in rehabilitation provision		143 428	17 837
Income from equity accounted investment		(13 169)	(20 122)
Other non-cash movement		1 230	(943)
Profit on sale of land and mineral rights		–	(19 061)
Profit on sale of property, plant and equipment		(406)	(644)
Fair value adjustment on provisionally priced revenue		(56 600)	(13 486)
Movement in long-term receivable		(31 853)	(26 973)
Movement in share-based payment liability		(12 420)	(659)
Net realisable value inventory adjustment		4 277	79 293
Finance income	13	(68 794)	(99 118)
Finance expense		1 553	1 358
Changes in working capital:			
Inventories		(108 394)	42 691
Trade and other receivables		23 062	382 362
Trade and other payables		42 555	(52 173)
		679 466	2 034 712

Notes to the summarised consolidated financial statements continued

7. Related parties

Related-party transactions and balances

During the current year, management reviewed its related party relationships in accordance with IAS 24: Related Party Disclosures. The Glencore plc Group was identified as a related party taking into consideration the shareholding and related significant influence coupled with the substance of the relationship. Significant transactions and balances with all entities within the Glencore plc Group are therefore disclosed together with the comparative figures.

All related-party transactions relate to Merafe's attributable 20.5% interest in the Venture. There are no outstanding commitments as at 31 December 2025.

Name of related party	Description of relationship	Transactions and balance
Industrial Development Corporation of South Africa Limited (IDC)	The IDC holds 21.88% of the issued share capital of the Company and has the ability to exercise significant influence over the Company as a result of its shareholding.	The IDC received the non-executive director's fees for Mr D McGluwa. The IDC received dividends declared by the Company. At the reporting date, there are no amounts payable to the IDC.
Glencore (Nederland) B.V. (GN)	GN holds 28.82% of the issued share capital of the Company and has the ability to exercise significant influence over the Company as a result of its shareholding.	GN received dividends declared by the Company. At the reporting date, there are no amounts due to GN.
Glencore Limited (Stamford) (GLS)	GLS acts as the Venture's exclusive marketing agent to sell ferrochrome on its behalf and acts as a distributor in the USA and Canada.	Sale of ferrochrome of R355m (2024: R554m). Commission expense of R7m (2024: R13m). Net interest expense of R12m (2024: R13m). Receivable at the reporting date of R107m (2024: R134m) is reduced as and when GLS receives funds from customers and is receivable 120 days after the bill of lading.
Glencore International AG (GIAG)	GIAG acts as the Venture's exclusive marketing agent to sell ferrochrome and chrome ore on its behalf. The Venture purchases various raw materials from GIAG on an ongoing basis. The Venture sells chrome ore to GIAG on an <i>ad hoc</i> basis.	Commission expense on the sale of ferrochrome and chrome ore of R218m (2024: R324m). Marketing fee expense of R2m (2024: R2m). Net interest income of R5m (2024: R12m). Purchase of raw materials of Rnil (2024: R9m). Balance owing at the reporting date of R24m (2024: R30m) payable on confirmation of final sales.
Char Technology Proprietary Limited (Chartech)	Chartech sells raw materials to the Venture.	Purchase of raw materials of R27m (2024: R129m). Balance owing at the reporting date of R1m (2024: R9m) payable 30 days from the statement date.
Glencore Holdings SA Proprietary Limited (GHSA)	GHSA offers the Central Treasury Function for the Venture.	Cash deposits of R699m (2024: R831m) and rehabilitation investment of R394m (2024: R361m).

Notes to the summarised consolidated financial statements continued

Name of related party	Description of relationship	Transactions and balance
Glencore Operations South Africa Proprietary Limited (GOSA)	GOSA is Merafe Ferrochrome and Mining Proprietary Limited's partner in the Venture.	Employee costs of R183m (2024: R176m). Head-office costs of R66m (2024: R38m). Training costs of R8m (2024: R12m). Lion smelter staff housing of R25m (2024: R23m). Shared service centre costs of R13m (2024: R13m). Balance owing at the end of the year of R19m (2024: R15m) payable 10 days after month end. GOSA received the non-executive director's fees for Mr D Green. At the reporting date, a loan receivable of R68m (2024: R50m) is owed to Merafe Ferrochrome.
Glencore Property Management Company Proprietary Limited (GPMC)	GPMC provides rental property to the Venture.	Rental of CSI offices of R0.4m (2024: R0.4m). Balance owing at the reporting period of R0.4m (2024: R0.03m) payable 30 days from the statement date.
Astron Energy Proprietary Limited (Astron)	Astron sells fuel to the Venture.	Purchases of R33m (2024: R35m). Payable of R1m (2024: R3m) at the reporting date.
Cassian Trade AG (Cassian Trade)	Cassian Trade acts as the Venture's exclusive marketing agent to sell ferrochrome and chrome ore on its behalf.	Receivable at the reporting date of R0.2m (2024: R7m).
Impala Chrome Proprietary Limited (Impala)	Impala is an associate jointly controlled by the Venture.	Revenue from logistics, marketing and maintenance contracts of R47m (2024: R42m). Receivable at the reporting date of R10m (2024: R3m).
Unicorn Chrome Proprietary Limited (Unicorn)	Unicorn is a jointly controlled operation by the Venture.	Unicorn declared a dividend of R8m to Merafe Ferrochrome.

Notes to the summarised consolidated financial statements continued

8. Taxation

The Group's effective tax rate is 24.88% (2024: 24.72%) for the year ended 31 December 2025.

9. Impairment of property, plant and equipment

During the reporting period, impairment adjustments were made relating to these specific assets that were fully written off: the Tswelopele and Bokamoso pelletising plants and the Wonderkop smelter. This was in light of grounds pointing to the likely impairment of some of our smelting operations. This conclusion was reached after considering several critical factors, which included the adverse state of the ferrochrome market and the uncompetitive level of our operating costs. The total impairment loss at reporting period was R222 million (2024: R575 million).

10. Inventories

During the reporting period, inventory was written down to its net realisable value due to low commodity prices at the reporting date. This resulted in a loss of R4 million (2024: R79 million).

11. Changes in estimate

Assumptions based on the current economic environment have been made, which management believes provide a reasonable basis upon which to estimate the future liability. Actual rehabilitation costs will ultimately depend upon future market prices for the necessary rehabilitation works, which will reflect market conditions at the relevant time. Furthermore, the timing of rehabilitation is likely to depend on when the mines cease to produce at economically viable rates.

The change in discount rate and revision of the rehabilitation period from 30 to 15 years on the non-operating smelters, had a significant impact on the rehabilitation provision. The discount rate used in the calculation of the provision as at 31 December 2025 equalled 7.5% (2024: 7.47%).

12. Contingent liabilities

The Group is subject to direct and indirect tax in the South African jurisdiction. The Group's subsidiary undertakes various cross-border transactions within the Venture, subject to the Group's transfer pricing policies. As a result, significant judgment is required to determine the Group's provisions for income taxes. The income tax and annual assessments are subject to examination within prescribed periods by the South African Revenue Service (SARS).

As previously reported, SARS finalised the audit of the previously reported transfer pricing matter on 30 October 2024 and adjusted (increased) the Company's taxable income for the 2016 and 2017 years. Pursuant to the finalisation of the audit, SARS issued additional assessments on 30 October 2024 levying additional income tax, dividends tax, understatement penalties, and interest in the aggregate amount of R406 million against the Company for the 2016 and 2017 years.

The Company disagrees with the additional assessments. After taking several procedural steps, including submitting an objection that was ultimately denied by SARS on 30 September 2025, the Company filed a notice of appeal in November 2025. This formally initiates the Tax Court appeal process. Furthermore, the Company is currently awaiting SARS' response regarding its request to review the partial suspension of payment for the disputed tax debt.

Management continues to rely on opinions obtained from external legal and tax advisers to inform and support the significant judgement required in interpreting relevant tax legislation. The matter has been disclosed as a contingent liability as its outcome, due to the dispute, remains uncertain and any potential tax exposure cannot be reliably estimated. Accordingly, the consolidated financial statements have made no adjustment for any effects on the Group.

13. Correction of prior periods

During the finalisation of the annual financial statements for the year ended 31 December 2025, the Company identified a prior period error relating to the classification of cash and cash equivalents under IAS 7: *Statement of Cash Flows* 7 and to enhance the breakdown of revenue from the Asian region, the Company has revised its regional revenue disclosure format for ferrochrome and chrome ore.

13.1 Prior period error – reclassification of cash deposits

During the year, the Group identified that certain cash deposits of R361 million with the Glencore central treasury function for rehabilitation purposes was incorrectly classified as cash and cash equivalents in prior periods. As these deposits had a term of 120 days, they did not meet the definition of cash equivalents under IAS 7. In accordance with IAS 8, the comparative figures have been restated, and these amounts have been reclassified as short-term financial assets. Any related interest and foreign exchange impacts as a result of including this in cash and cash equivalents previously has been adjusted for accordingly in the statement of cash flows.

Notes to the summarised consolidated financial statements continued

The effect of the restatement is indicated below:

Statement of financial position

R'000	Group 2024		Group 2023	
	Previously stated	Currently stated	Previously stated	Currently stated
Current assets				
Other short-term financial asset		360 756		327 648
Cash and cash equivalents	1 794 911		1 655 807	
Cash and cash equivalents and balances held with Central Treasury		1 434 155		1 328 158
	1 794 911	1 794 911	1 655 807	1 655 807

13.2 Prior period error – reclassification of finance income

During the year, the Group identified that finance income of R33 million earned on Cash deposits with the Glencore central treasury function was incorrectly included in operating and other expenses in the Statement of Profit or Loss in prior periods. In accordance with IAS 8, the comparative figures have been restated, and this income has been reclassified to finance income. The interest income relating to the financial asset held with Central Treasury was reclassified from EBITDA. The impact is as follows:

Statement of profit or loss and other comprehensive income

R'000	Group	
	2024 Previously stated	2024 Currently stated
Operating and other expenses	(6 741 366)	(6 774 473)
Earnings before interest, taxation, depreciation and amortisation	1 731 417	1 698 310
Results from operating activities	821 700	788 593
Finance income	66 011	99 118

13.3 Prior period error – reclassification of cash held with Glencore central treasury

During the year, the Group identified that cash of R1 192 million held with the Glencore central treasury was incorrectly included in cash and cash equivalents in the prior year's cash flow statement. As this balance represents cash advances and loans to other parties, it should have been classified as an investing cash flow within investing activities in accordance with IAS 7. In line with IAS 8, the comparative figures have been restated to reflect this. Any related interest and foreign exchange impacts as a result of including this in cash and cash equivalents previously has been adjusted for accordingly in the statement of cash flows. The impact is as follows:

Statement of cash flows

R'000	Group	
	2024 Previously stated	2024 Currently stated
Cash generated from operations	2 067 819	2 034 712
Net cash flows from operating activities	1 777 236	1 744 129
Movement in balances held with Central Treasury	–	(128 335)
Net cash from investing activities	(657 155)	(785 490)
Total cash movement for the year	67 262	(94 180)
Cash at the beginning of the year	1 655 807	696 910
Effect of exchange rate movement on cash balances	71 842	–
Cash at the end of the year	1 794 911	602 729

Notes to the summarised consolidated financial statements continued

13. Correction of prior periods continued

13.4 Revenue restatement

As previously reported through a SENS announcement published on 31 March 2025, following engagement with the JSE subsequent to its review of Merafe's financial statements pursuant to the JSE's proactive monitoring review process, and to enhance the breakdown of revenue from the Asian region, the company has revised its regional revenue disclosure format for ferrochrome and chrome ore as follows:

Ferrochrome revenue disaggregation

	2024		Group	
	Previously stated	% of revenue	Currently stated	% of revenue
	Revenue	in relation	Revenue	in relation
	R'000	to total	R'000	to total
		ferrochrome		ferrochrome
		revenue		revenue
Revenue destination				
Africa*	211 328	4	212 617	4
Americas**	557 401	9	561 354	9
Asia	4 023 250	68	4 011 749	68
China	–	–	2 521 372	43
Indonesia	–	–	956 702	16
Other Asia***	–	–	533 675	9
Europe****	1 116 899	19	1 123 158	19
	5 908 878	100	5 908 878	100

Chrome revenue disaggregation

	2024		Group	
	Previously stated	% of revenue	Currently stated	% of revenue
	Revenue	in relation to	Revenue	in relation to
	R'000	total chrome	R'000	total chrome
		ore revenue		ore revenue
Revenue destination				
Africa*	–	–	507 967	22
Americas**	–	–	19 689	1
Asia	–	–	1 633 558	72
China	–	–	1 612 771	71
Other Asia***	–	–	20 787	1
Europe****	–	–	101 007	5
South Africa	506 580	22		
Asia, Australia, Mexico and Europe	1 755 641	78		
	2 262 211	100	2 262 221	100

Notes to the summarised consolidated financial statements continued

14. Events after the reporting period

Eskom

In January 2026 NERSA approved a 12-month interim tariff of 87.74c/kWh. However, the interim tariff is not enough to restart all suspended smelters which require a tariff of 62c/kWh. On 27 February 2026, in-principle support for the proposed 62c/kWh electricity tariff (Proposed Tariff) was received from Eskom and the South African government (Government). Specific terms and conditions of the Proposed Tariff are critical and engagements with Eskom and Government continue. In good faith, the Venture has extended the current termination date under s189 and 189A of the Labour Relations Act, 66 of 1995 consultation process from 28 February 2026 to 31 March 2026.

Dividend

As reported above, on 6 March 2026, the Board resolved to declare a final cash dividend of 8 cents (2024: 8 cents) per share for the 2025 financial year. The total gross cash dividend for the year amounted to 12 cents (2024: 28 cents) per share.

The directors of Merafe are unaware of any material events that occurred after the reporting period and up to the date of authorisation of this report that may require adjustment or disclosure in these summarised financial statements.

15. Declaration of an ordinary cash dividend for the year ended 31 December 2025

Notice is hereby given that a gross final cash dividend of 8 cents per share (2024: 8 cents per share) has been declared by the Board on Friday, 6 March 2026, payable to holders of ordinary shares.

The dividend will be paid out of income reserves.

The ordinary dividend will be subject to a local dividend tax rate of 20%. The net local ordinary dividend to those shareholders who are not exempt from paying dividend tax is therefore 6.4 cents per share. Merafe's income tax number is 9550 008 602. The number of ordinary shares issued at the date of the declaration is 2 499 126 870.

The important dates pertaining to the dividend are as follows:

	2026
Last day for ordinary shares to trade <i>cum</i> ordinary dividend:	Monday, 30 March
Ordinary shares commence trading <i>ex-ordinary</i> dividend:	Tuesday, 31 March
Record date:	Thursday, 2 April
Payment date:	Tuesday, 7 April

Shareholders will not be permitted to dematerialise or rematerialise their ordinary shares between Tuesday, 31 March 2026 and Thursday, 2 April 2026, both days inclusive.

Administration

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